

Welfare and social policy

Taxation was originally introduced to fund armed forces, at a time when perhaps the only responsibility of a monarch was the defence of the realm, requiring finance from a public treasury. Nowadays, however, a large proportion of public spending is to provide public goods and services, including transport and the utilities (although some of these, such as street lighting and rubbish collection, may be done at a local level), and social services, protecting the welfare of the people.

This social provision includes such things as healthcare, unemployment and sickness benefits, pensions and education, and the level to which it is funded from the public purse varies from one government to another. Those to the left of centre believe that welfare is a collective responsibility, to be wholly or partly funded by the state, with generous pensions and benefits as well as free or subsidized healthcare. More right-wing ideologies, however, advocate greater personal responsibility, through private insurance and pension schemes.

